1 **Key FinTech Tax Performance Metrics**

| Tax Compliance | | Dec-21 | Jan-22 | Feb-22 | Goal | MoM Change |
|---|---|---|---|---|---|---|
| **Avatar** | # Tax records processed WW (MM) | 19,396 | 15,460 | 13,102 | N/A | -15.25% |
| | % Tax Record Transformation (TRT) service availability | 100% | 100% | 100% | 99.7% | 0 bps |
| **US TDW[1]** | # Total user queries (QuickSight) | 2,696 | 1,954 | 2,016 | N/A | 3.17% |
| | % QuickSight (QS) Reports Timeout | 0.90% | 0.31% | 0.50% | 1%[1] | 19 bps[1] |
| | Compliance Data Availability (against Day 5 SLA in Hours) | 24 | 72 | 0 | <0 | -100% |
| **Intl TDW** | # Total user queries (QuickSight) | 19,661 | 21,279 | 14,482 | N/A | -30% |
| | % QS Reports Timeout | 0.08% | 0.10% | 0.00% | 1% | -10 bps |
| **Seed** | # Seed Apps | 63 | 66 | 66 | N/A | 0% |
| | # Business Rules | 46,467 | 46,277 | 46,677 | N/A | 0.86% |
| **Brazil Synchro[2]** | % of Invoices Requiring Manual Input (for each 1K invoices) | 0.12% | 0.28% | 0.12% | 1%[2] | -16 bps |
| | Total Inbound and Outbound Invoices | 28,165,362 | 28,007,852 | 26,359,402 | N/A | -5.89% |
| **E-Invoicing[3]** | # of Invoices processed | 5,037,797 | 6,532,474 | 6,758,741 | N/A | 3.46% |
| | % of processing errors | 5.0% | 5.7% | 4.0%[3] | 4.0%[3] | -170 bps |
| **Finch** | # Records Processed Total | 463,786 | 400,702 | 360,353 | N/A | -10.07% |
| | # Records Successfully Matched (%) | 90.9% | 91.60% | 91.50% | 85% | -10 bps |
| | # Matched Records Successfully Processed (%) | 99.9% | 99.9% | 99.90% | 98% | 0 bps |
| **CapEx Workbench[4]** | Total Assets Count | 2,743,142 | 2,779,183 | 2,821,145 | N/A | 1.51% |
| | Total Assets Value (MM USD) | 181,879 | 184,899 | 188,515 | N/A | 1.96% |
| | Reconciled Assets (% of Count matched) | 99.801% | 99.889% | 99.890% | 99.900% | 1 bps |
| | Reconciled Assets (% of OFA cost matched) | 99.998% | 99.998% | 99.998% | 99.999% | 0 bps |
| **Tax Audit** | | | | | | |
| **TAP** | # Total user created audit datasets | 103 | 122 | 130 | N/A | 6.56% |
| | # Ad-hoc user queries | 5,287 | 7,330 | 4,910 | N/A | -33.02% |
| **AMP** | Active Audits | 390 | 378 | 383 | N/A | 1.32% |
| | New Audits | 42 | 3 | 3 | N/A | 0% |
| | Closed Audits | 16 | 15 | 34 | N/A | 126.67% |
| **RAPID Self-Audit** | # ASINs successfully extracted (text from listing and images) | 57,400 | 82,440 | 74,938 | N/A | -9.10% |
| **Obligations & Payments[5]** | | | | | | |
| **Obligations** | TOM Obligations Count - Total | 5,371 | 5,816 | 5,497 | N/A | 5.48% |
| | TOM Obligations Count - ITC-SaLT | 2,948 | 2,525 | 2,499 | N/A | -1.03% |
| | TOM Obligations Count - ITX-EMEA | 1,240 | 900 | 921 | N/A | 2.33% |
| | TOM Obligations Count - ITX -Brazil | 885 | 881 | 864 | N/A | -1.93 |
| | TOM Obligations Count - ITX - ROW | 298 | 148 | 155 | N/A | 4.73% |
| | TOM Obligations Count - ITX - India | 298 | 298 | 298 | N/A | 0% |
| | TOM Obligations Count - Property Tax | N/A | 533 | 728 | N/A | 36.59% |
| **Payments** | Payment Count - Total | 4,175 | 3,934 | 3,321 | N/A | -15.58% |
| | Payment Count - PayLoad | 2,347 | 1,814 | 1,400 | N/A | -22.82% |
| | Payment Count - TOM - ITC-SaLT | 1,720 | 2,003 | 1,741 | N/A | -13.08% |
| | Payment Count - TOM - ITX - ROW | 32 | 64 | 85 | N/A | 32.81% |
| | Payment Count - TOM - ITX-Brazil | 76 | 53 | 95 | N/A | 79.25% |
| | Payment Amount Total (USD MM) | 2,704 | 2,873 | 2,290 | N/A | -20.29% |
| | Payment Amount - PayLoad (USD MM) | 1,420 | 1,485 | 1,056.7 | N/A | -28.84% |
| | Payment Amount - TOM - ITC-SaLT (USD MM) | 1,252.30 | 1,368.40 | 1,175.44 | N/A | -14.10% |
| | Payment Amount – TOM - Int'l Tax (USD MM) | 1.1 | 4.1 | 8.95 | N/A | 118.29% |
| | Payment Amount - TOM - ITX-Brazil (USD MM) | 30.6 | 15 | 48.6 | N/A | 224.00% |
| | Payment initiation success metrics | 100% | 100% | 100% | 100% | 0% |
| **Automation Tools** | | | | | | |
| **BAMM** | Active Matters | 2,307 | 2,399 | 2,222 | N/A | -7.38% |
| | Total Budget (USD MM) | 172.7 | 76.2 | 110.5 | N/A | 45.01% |
| | Active Matter Owner Count | 349 | 370 | 353 | N/A | -4.59% |
| **Impact** | | | | | | |
| **Tech Debt Reduction[6]** | Number of 2022 Open Tech Debt Items | TBD | | | | |
| | Average Age of Open Items (Days) | | | | | |
| | % of Open Tech Debt Items Resolved in 2022 | | | | | |
| | $ (USD) Savings from Resolved Items | | | | | |
| | FTE Hours Savings from Resolved Items | | | | | |
| | Pro Fees Savings from Resolved Items | | | | | |

[1]Increase in February time-outs are due to ad-hoc queries from customers that time-out due to lack of filters, such as date. We are reevaluating the QS Reports Timeout goal to be more aggressive; will update by April MBR.

[2]We are reevaluating the % of Invoices Requiring Manual Input goal to be more aggressive. We will update by April MBR.

[3]We are reporting metrics only for the four countries deployed via the e-invoicing compliance (EIC) program (Egypt, India, Hungary, and Portugal). The reduced February error rate reflects successfully reducing Egypt error rate to 0.07% while processing an additional 1.2M invoices. Our focus now is to reduce India error rate from 5.7% to 4.0% while processing ~7M invoices. April MBR will break out metrics by country.

[4]We updated Dec '21 and Jan '22 data since the Feb MBR to reflect minor adjustments.

[5]Business volumes drive TOM and PayLoad obligation and payment metrics.

[6]We are cleaning up data to ensure accurate tagging/project closure/impact data to improve data validity/attribution. We will track open items by having an intake project record associated with the Tech Debt item, being tagged as a Tech Debt/Automation Finance Category and being above the line (ATL) for GTS and/or FinTech Tax in 2022. We will aim to close 100% of open Tech Debt items by year end and have already committed to these projects as ATL for 2022. We aim to provide data in the next QBR allowing more time for data clean up and for projects to launch for relevant data.

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# Finance Technology Tax QBR 3/31/2022

This quarterly business review (QBR) summarizes the FinTech roadmap supporting Tax, with key updates since our last QBR on 12/8/2021. The main document contains initiatives with status of red, yellow, and go-lives on or before 6/30/2022. All other initiatives with Green status are in Appendix A. See Appendix C to E for a summary of status by month, project delays, and COEs.

## Callouts

**2022 Roadmap, Prioritization, and Partnership**: We continue to prioritize process improvement and build mechanisms in partnership with the Global Tax Services (GTS) teams – PMO and Tax Data Management Solutions (TDMS). This allows us to direct resources at the right customer priorities post-reorg. Together, we delivered the first centralized FinTech-Tax roadmap as our single source of truth among teams, providing visibility into the total population of Tax needs and delivery commitments. We also began migrating to the Tax PMO's intake and reporting mechanisms in March to streamline the grooming and resourcing processes. Rather than managing separate, isolated channels among teams, we will centralize the collection of net new requests for FinTech support alongside maintenance of the authoritative FinTech-Tax roadmap. We will finalize the migration by mid-April and will continue to optimize these mechanisms to provide greater transparency into related Kingpin goals, Tech Debt items, and product roadmaps.

We are currently tracking 292 projects (+136 since the February MBR) with 175 (+45) items above the line, 54 (+43) items below and 63 (+48) projects under assessment. We have not moved any projects below the line that we previously committed to deliver since OP1. The project count increased as we gained visibility at scale into existing projects across teams that were already above, below, or under assessment. For example, we've added ~15 India Indirect Tax projects and ~70 for Brazil. This further underscores the need for the centralized mechanisms we are implementing moving forward. See Appendix H for the full project list and summary of below the line items.

**Tech Debt**: We are committed to helping improve, measure, and track progress toward Tech Debt reduction and will begin tracking progress in our Page 0 metrics in partnership with GTS. This will enable us to more accurately quantify the business value and customer impact our tech solutions provide in reducing manual effort. Over the next quarter, GTS will work with Tax to further refine and prioritize the Tech Debt population, with the objective of surfacing the top priority items that warrant focus. This will allow us to align resourcing on methodically working through the population to identify strategies and solutions, beginning first with the highest-impact, top-priority items. We've hired a dedicated resource to partner with Tax on this effort.

**Headcount:** As part of OP2, Corp FP&A provided FinTech with a reduced 2022 headcount target, considering our gap to plan and their projection of our ability to hire. For the FinTech Tax teams, our revised 2022 target is 246, a decrease of 18% from our OP1 of 302. As of 3/28/2022, our team strength is 179 (166 Actual HC, 13 pending starts); see Appendix F for details. The new headcount target is more realistic; however, we will allow teams to continue hiring when they reach their revised plan. Across FinTech, we established hiring plans with our recruiting partners in all locations to meet this demand. Recruiting is on track for this hiring commitment through March 2022.

With the merger of the technology teams in FinTech and Tax, we will leverage existing technology to deliver our goals even with the reduced headcount target. For instance, we stopped initiatives such as Milaan and Data Catalog to leverage other similar capabilities with no impact to above the line items. Similarly, Use Tax Automation and Tax Matching Solution (TMS) are two critical projects that turned Red because of resources. We established a path forward to get both those projects back on track; details for these projects are in the project update section.

**Customer "Day in the Life Of" Sessions:** Beginning in April, we will start a series called "Day in the Life Of" to learn more about tax processes from our customers. Insights from these deep dives will allow us to innovate new solutions on behalf of our customers, enhance existing solutions, and build synergy within our products. We will use those sessions as input to our 3YP. To start, the International Tax Compliance team is conducting a workshop with our Amsterdam team to walk us through their processes. Once we finalize plan details, we will schedule additional sessions throughout April and May. We are seeking input from Tax leadership on this idea, so please share any feedback.

## Misses

**Data Duplication Issue in the US TDW Follow Up (COE 242512):** On 1/12/2022, Indirect Tax Tech (ITT) uncovered a data duplication issue for a subset of transactions from 12/5/2021 to 12/6/2021 in US TDW. The duplicate records overstated the tax amount by approximately 0.1% ($2.7MM) for the December 2021 filing. We published a COE on 2/4/2022 and reviewed it with Tax stakeholders on 2/14/2022. The root cause was a software bug in the version of the AWS Service, EMR, used by TDW. We completed COE action items including the EMR upgrade and data validation to prevent this issue in the future. We are on track to close the remaining action items on process improvement by 4/11/2022 and 7/29/2022 respectively.

**Tax Invoice Reconciliation issue in INTDW (COE 244414)**: On 1/8/2022, India Tax team found discrepancies when they reconciled tax invoices against E-Invoices data for the first time for December 2021. We resolved this issue by regenerating the compliance reports on 1/8/2022. On 2/5/2022, India Tax team again found this issue for January 2022. The root cause was tagging of multiple tax invoices for the same tax event from Tax Engine. Aggregated Invoicing Services (AIS) rolled out an enhancement in December 2021 which caused this discrepancy. For Jan 2022 tax filing period, we addressed the issue on 2/8/2022 by integrating the correct invoice from Tax Engine services data store. We are working with AIS and Tax Engine Application (TEA) to determine a strategic solution for preventing this issue. We will publish the COE by 3/31/2022.

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**Wins**

**OFA Database Upgrade:** On 2/20/2022, we upgraded OFA database from Oracle 11g to 19c. The previous version of Oracle (11g) was out of normal support, which makes it ineligible for software updates and limited support from Oracle. Upgrading to the new version (19c) will restore normal support from Oracle, eliminating extended support cost, and provide additional operational benefits. We encountered unforeseen issues with networking that the teams worked through. We will document lessons learned as we prepare for the OFA Application upgrade. Thank you, Tax partners, for your support throughout this upgrade.

**TDW Recon for AWS India:** In February 2022, partnering with Tax Data Management Solution (TDMS), we onboarded AWS India to TDW and Recon tool. India Tax can now receive on-demand, analysed data for recurring needs from the automated compliance and reconciliation process. This systematically explains 99% of both AWS tax and AWS revenue, and equips users with invoice-level details to determine appropriate actions for the remainder. This will enable Tax to recoup an estimated $6MM tax savings for suspended accounts.

**China (CN) TDW: Phase 1 (Integrate USL and GL Datasets):** On 3/4/2022, we launched the new TDW instance for CN with GL, USL, and Intercompany data (Virtual Trader). We also deployed the latest Seed App with new business rules and QuickSight dashboard to production. CN TDW provides an automated solution to generate consolidated tax reports required by China tax authorities. It is estimated to save approximately 270 hours manual work per month. The China Tax compliance team will do a parallel run for the March filing and then officially cut over for the April filing.

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**Recently Completed Projects and Key In-Flight Investments with Red/Yellow Status and Launches within the Next Three Months**

**Indirect Tax Compliance**

**Report Payment Method in Brazil SPED Compliance Reporting – ~~12/20/2021~~ ~~3/31/2022~~ 5/2/2022 [Yellow]**

—*Overview*: In 2019, the BR Tax Authority updated the SPED ICMS/IPI's layout with a new record coded 1600 for amount of debit and credit cards, requiring us to flag credit and debit cards used on goods transactions from Jan 2019 and beyond. This required new integration between Pay Station, Pay Central, and Synchro.

—*Update*: The core team moved the launch to 5/2/2022 because the Government Invoice Archival Service (GIAS) team needed more time to review our Modeled Change Management (MCM) due our data backfill on their API. The new date includes the data backfill of more than 190 million invoices and Tax UAT. This doesn't bring major risks for Tax because we already report SPED as a provisioned value for the Brazilian authorities. However, it brings a risk due to the short execution window.

—*Reason for Yellow*: GIAS needed more time to review our plan and requested an execution window between 11:30pm and 6:00am.

—*Path to Green*: We gathered data from our current executions, and we will discuss with GIAS on the possibility of a larger execution window.

**[FGBS Goal] Automate Use Tax Calculation: Interim Solution (using Alteryx) – 7/1/2022 [Yellow], Custom Solution – 12/12/2022 [Yellow]**

—*Overview*: Amazon is obligated to pay tax on the use of goods or services where sales tax has not been paid. The current Indirect Tax Compliance process is very manual, human error prone, and causes audit assessment risk. We will automate use tax determination and calculation through Vertex integration, publish monthly files with calculated tax to a central repository, rearchitect reconciliations and migrate to FDV as a single source of truth for AP/GL, vendor, invoice and spend level data. We will deliver this automation in two phases; first iteration by leveraging Alteryx, followed by a custom solution.

—*Update*: On 3/14/2022, we conducted a Steerco meeting, where we aligned with stakeholders on project scope and timeline. We are working with FDV to source required datasets and migrate off FDW and Horizon by Q3 of 2022. In parallel, we are working with InfoSec on Red certification to onboard to FDV. Tax is currently reviewing the taxability matrix prepared by PwC, and they expect to finalize the completion date for Use Tax Code development by 4/29/2022.

—*Reason for Yellow*: We are tracking this Yellow due to pending Vertex Use Tax license and Lantern scope alignment.

—*Path to Green*: We are closely monitoring the use tax license progress, which is currently delayed from 4/1/2022 to 4/15/2022. We are working with Tax PMO to get closure on pending Lantern scope alignment by 4/8/2022.

**Tax Engine V3: Schema Update for Marketplace Facilitator (MPF) 2.0, Canada (CA) Launch – 4/1/2022 [Green]**

—*Overview*: Multiple jurisdictions passed MPF laws requiring companies to collect taxes on behalf of 3P sellers. Currently, Tax Engine cannot define different tax liability requirements for MPF sales. To support these laws, Tax Engine is migrating 14 existing tax record attributes using a liability assignments model. CA is the first marketplace to launch MPF 2.0. Related FinTech areas for the CA launch are: 1) Avatar that ingests and vends out tax data downstream, and 2) International TDW that supports ITT.

—*Update:* We configured TDW accept the GUITAR V3 schema based on changes from MPF. We deployed business rules through SEED, and we are on track to complete backfill flows before month end begins.

**Digital Service Tax (DST): Phase 1 – 1/31/2022 [Completed], Phase 2 – 4/17/2022 [Scoping]**

—*Overview:* DST is a directive that imposes a tax on revenues arising from the provision of digital services based on the customers' IP location, replacing the old methodology based on customers' shipping/billing location. Phase 2 scope includes implementing data pipelines and audit reports with a new IP methodology for select EU countries (Spain, Turkey, UK, Hungary).

—*Update:* We delivered Phase 1 on 1/31/2022 which included a worldwide unified IP, Shipping and Billing dataset for DST calculations, and DST reports for France and India. We delivered additional enhancements, which included Spain and UK DST Reports, on 3/13/2022 with business data validations in progress. We will finalize Phase 2 scoping by 4/17/2022, and we will start exploring options for a long-term solution, which includes evaluation of services such as Tax Engine.

**Direct Tax Compliance**

**CapEx WorkBench: Phase 3.0 (Self-Service) – 3/31/2022 [Green], Whole Foods (WFM) Integration – 10/28/2022 [Green]**

—*Overview*: CapEx delivers solutions enabling the Tax CapEx team to efficiently manage depreciation calculations for 2.7M assets in 70+ countries with CapEx Workbench (US) and FADE/FARM (non-US). CapEx Workbench automates the processing, calculation, and reporting of OFA based assets from OFA to Bloomberg FA Web product.

—*Update*: We provided year-end processing in two days, down from seven in 2021. We also delivered self-service reconciliation dashboards and are on track for 3/31/2022 launch of self-service pre-processing with Master Data Management (MDM) integration. CostSegs loaded through 2021, and added features to support intangible asset processing. For WFM Integration, we completed a detailed plan and are on track for August pilot and October 2022 full cutover.

**Obligation Management**

**PayLoad: v4.0 (UI Enhancements and Gap Analysis) – 3/31/2022 [Green], v4.1 (Security, UX Enhancements) – 6/30/2022 [Green]**

—*Overview*: PayLoad is an application for Tax to upload payment files and make ad-hoc payments. v4.0 will deliver 1) "Friendly" Batch ID for search & sort, 2) Updated email template with additional batch info, 3) Hyperlink attachment to the payment batch, 4) Onboarding of ITX-EMEA on PayLoad, and 5) Gap analysis of requirements and features for Direct Tax. v4.1 will deliver 1) vendor validation capability for payment approvers, 2) banner display on PayLoad UI, and 3) detection of anomalous payments.

—*Update:* We completed all work except the training for the wider ITX-EMEA team onboarding. This is scheduled for 3/29/2022. Preliminary design of the PayLoad 4.1 features is in progress.

**Tax Obligation Manager (TOM): v8.2 (Invoice Number and Payment Description Automation) – 4/25/2022 [Green]**

—*Overview*: TOM is an application that Amazon tax teams use to manage, file, and pay recurring tax obligations. TOM v8.2 will provide ability to (1) auto-generate invoice number and payment description for the Indirect Tax Brazil team to eliminate manual work; (2) when Indirect Tax Compliance SaLT payments over USD100 MM are split into two, auto-generate payment descriptions using the after-split amount to avoid payment rejection.

—*Update*: UAT is in progress with no issues reported. We are on track for launch.

**Automation Tools**

**RAPID (Read, Analyze, Process Image Data): Soft Drinks – ~~3/25/2022~~ Date for a Date 4/8/2022 [Scoping]**

—*Overview*: RAPID is an AWS Textract-based solution to extract data from images and documents into transformed data sets with customer defined rules tagging. RAPID is deployed for SaLT Self Audit, and in development for Mexico finance bank statement reconciliation and ROW VAT Tax recovery to automate thousands of documents currently manually processed.

—*Update*: Business requested additional changes for Exempt category which we need to review and implement to get accurate results. We are gathering the business rules for the Exempt category and will provide a new date by 4/8/2022.

**Budget and Matter Manager (BAMM): v1.2.1 (Data Controls, UX) – ~~3/31/2022~~ 4/28/2022 [Green], v1.3 (Notification, UX) – 6/30/2022 [Green]**

—*Overview*: BAMM manages the matter management process for professional services fees, ensuring compliance with Legal and Spending & Transaction Policy. In v1.2.1, we will create additional data quality controls, automate weekly Scorecard reporting for all BAMM users, and improve the performance of key administrative UI elements. In v1.3, we will automate over budget notification and end user experience in the input, approval, and administration of professional free management.

—*Update*: International Tax re-org required new work which adjusted the scope of the 4/28/2022 release, so we pushed out the over budget notifications to the next release.

**Process Automation and Data Analytics (PANDA): Phase 1 (Nodes-Transformation, Data Ingestion, Batch Mode) – 5/27/2022 [Green], Phase 2 and 3 – Date for a Date 4/30/2022 [Scoping]**

—*Overview:* PANDA allows Tax to self-manage data-driven business processes and data analytics needs with automation, audit ability, efficiency, scalability, controller ship, and traceability. The end user can build automated process using a visual interface, including integration to services across Amazon. In 2022, we will deliver features for Tax Matching Solution and SISTER program.

—*Update:* We onboarded three developers on 3/15/2022 and re-defined our 2022 roadmap with four releases. We are on track for Phase 1 release. We are working with PMO team to finalize the scope for phase 2 and phase 3 releases by 4/30/2022.

**Starling: v1.3 (Email Notifications and Approvals) – 3/25/2022 [Completed]**

—*Update*: Starling is a requirements lifecycle management tool to author, review, implement, test, and close requirements. On 3/25/2022 we launched Starling v1.3 to support approvals and email notifications, which are required to enable tax-wide adoption of Tax Requirements Document (TRD) template. We are organizing kick off sessions and trainings to onboard new pilot team users to drive adoption.

**Tax Audits**

**MX VAT Audit Readiness, Lane 5: Historical Reconciliation, Phase 1 – 4/1/2022 [Yellow]; Phase 2 – Date for a Date ~~12/30/2021~~ ~~2/4/2022~~ 5/6/2022 [Scoping]**

—*Overview:* Prepare Amazon for expected Mexico audit in 2022 by reconciling the historical invoices. Workstream phases: Phase 1 reconciled data for all years 2015-2021; Phase 2 add Seller Fees & Prime use cases.

—*Update:* Phase 1 delivered all data and QS dashboards for 2015 and 2017-2021 on 3/11/2022. We will review and sign-off these data sets by 4/1/2022. We plan to share delivery timelines for Phase 2 (Seller Fees, Prime use cases) by 5/6/2022.

—*Reason for Yellow:* Phase 1 is yellow because of unavailability of USL data for 2016. The reports are pending generation and sign-off by business for Jan-Aug 2016.

—*Path to Green:* For Phase 1, we identified USL data for 2016. Team will generate and share the reports to business. Review and sign-off on these data sets scheduled for 4/1/2022.

**Audit Management Portal (AMP) UX enhancements: Phase 1 – 4/15/2022 [Green], Phase 2 – 6/30/2022 [Green]**

—*Overview*: AMP is an application that tax teams use to manage the lifecycle of tax audits. Tax audit teams raised user experience issues in AMP, particularly in bulk updating key audit project dates and capturing audit response progress. We will provide bulk date update in Phase 1 and three additional features (Side panel updates, Audit hierarchy view, Favorites) in Phase 2 to improve ease of use and time to accomplish tasks.

—*Update:* We launched four additional navigation enhancement features in February. We are developing the bulk date update and will launch for UAT on 4/8/2022. For Phase 2, we are on track for launch.

**Launch Configurable Report Generation Capability in TAP for Sales Tax Audits – 5/31/2022 [Green]**

—*Overview*: US tax audit team needs custom reports based on TAP datasets to respond to audit queries from authorities. Tax analysts need to pull such reports even before they create principal audit datasets in TAP, and we do not have this self-service capability. We will build a capability in TAP for Tax analysts to configure, view, and export reports based on input TAP datasets.

—*Update:* As called out in the February update, we are in the development phase for this feature. On 3/17/2022, we did a demo of the front-end changes to gather user feedback. By 4/30/2022, we will complete end-to-end development for the feature and move to user testing.

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**Select FinTech Investments where Tax is a Stakeholder with Red and Yellow Status and Launches within Next Three Months**

**[FGBS Goal] Teller: Migrate 3% of Digital Payments to Teller to Reduce Dependency on OFA AP (OFA Footprint Reduction) – ~~12/31/2021~~ ~~5/15/2022~~ 7/15/2022 [Yellow]**

—*Overview:* We will migrate 3% of global Digital accounts payable Payments from OFA to Teller (OFA Footprint Reduction) by July 2022. This includes Digital Merch business in the US and a pilot group of 3P transportation vendors in the UK.

—*Update*: We began UAT second pass on 3/15/2022 and will conclude on 4/15/2022. We are working with the FinOps, Accounting, and Tax to complete production validation testing between 5/1/2022 and 6/15/2022.

—*Reason for Yellow*: We face risks related to engineering bandwidth to complete existing features and resolve the UAT blocking bugs to enable a 100% pass rate to exit UAT. This may delay P0 features and prevent teams from completing UAT by 4/15/2022.

— *Path to Green:* We are reprioritizing P0 must-have features and blockers and pushing out the rest to post launch. We will fix the critical UAT defects and enable second pass completion by 4/15/2022. We will enable production pipeline by 4/15/2022, and migrate OFA invoices, review shadow mode results and operational readiness, and complete PVT including end-to-end testing by FinOps, Accounting, and Tax by 6/15/2022.

## Appendix A: Investments with Green/Scoping/On Hold Status and Go-Live after 3 months

**E-Invoicing Program: Enable e-invoicing for Amazon in Vietnam – 7/1/2022 [Green], Poland (PL) and Saudi Arabia (KSA) – 1/1/2023 [Green], Colombia (CO) and Chile (CL) – Q1, 2023 [Scoping]**

—*Overview:* We will enable e-invoicing capabilities in both existing and new countries to enable Amazon businesses operate in compliance with local government and tax authority regulations.

—*Update:* For Vietnam, we initiated contract negotiations with our preferred 3P service provider that will integrate with GIS to enable e-invoice transmission to Vietnamese tax authority. We will produce a working backward plan by 4/11/2022. For PL and KSA we completed the tech summits. Individual tech teams will complete low-level design for PL by 4/30/2022 and for KSA by 4/15/2022. For CO and CL, we scheduled XML schema review sessions with completion by 4/8/2022 and tech summit for mid-April to identify key tech dependencies and close out on the high-level design.

**Seed 2.0: Phase 3 (Access Control and Business Rules) – 7/31/2022 [Green]**

—*Overview*: Seed, a data transformation business rules builder, enables analysts to create user-friendly rules, automatically generate code, test, and deploy the rules. In Phase 3, we will deliver (1) access control at the app level, (2) a generic interface for upstream data publisher to integrate with Seed, and (3) data join and transformation using business rules. This will improve security control, enable automatic data pipeline for subsidiary data for the SISTER program, and enable MX TDW launch.

—*Update*: We completed the design and started implementation of the access control at the app level (ETA 6/30/2022). We also started the design and implementation for two new features required to deliver the pilot MX TDW report (Cash Report – Prime).

**[FGBS Goal] Intercompany (IC): Tax Automation for IC Manual Journal Entries (MJEs) – ~~9/14/2021~~ ~~7/19/2022~~ 8/19/2022 [Green]**

—*Overview*: We will extend the IC MJE tool to add integration with Global Entity Management System (GEMS), Amazon Legal Entity (ALE) system, and a new enhancement 'Transaction Tax calculator' to the MJE tool for automation of indirect tax, which will address the outstanding GRC action item to automate VAT treatment of IC transactions.

—*Update*: We finalized an alternate automation solution using the Transaction Tax Calculation (formerly known as QuickWin), which Tax controllership team and Tax leadership reviewed and approved. This will enable us to decouple the Tax Engine build and meet the audit timeline. Development is in progress and we are on track to begin UAT in May 2022.

**MDM: Release 3 (Relational Templates, Internal & External Validations) – 9/30/2022 [Green]**

—*Overview:* MDM R3 will support defining relationships between templates, both for referential integrity and internal validations and defining "common" templates used by customers as a central data reference (e.g., Tax Categories, Countries, Locations).

—*Update:* The I/C Tax, CapEx, BAMM, Finch, and PMO teams created over 10 templates in Gamma with planned migrations to Prod between 4/1/2022 and 7/31/2022. PM is finalizing the R3 scope and will review it with the new SDM by 3/31/2022.

**FINCH: Release 2B (Account Expansion and Usability Improvements) – 11/30/2022 [Green]**

—*Overview*: Finch automates withholding tax calculations and posting of withholding tax accounting entries to General Ledger. Release 2B will include: 1) transition to FDV and increase process frequency; 2) UI enhancements to support approval workflow (to be delivered in two phases); 3) transition to APTTUS Agreement / Calculated Line Item; 4) onboard "Bucket 2" 38 accounts with ~20K transactions per month; 5) self-service WHT rate management; 6) integration with TMS Gamma.

—*Update:* Phase 1 of the new UI is on track for an April UAT. Other scope items are on track, except FDV transition which delayed due to missing fields in the FDV dataset. We expect resolution from FDV by 5/31/2022. In addition, Finch may need to become Red Anvil certified to continue consuming the FDV dataset based on a new security assessment. We will review and provide an update for the potential impact of this additional scope by 4/8/2022.

**[FGBS Goal] Complete Preparation for OFA Application Upgrade from 12.1.3 to 12.2.10+ version – 11/1/2022 [Green]**

—*Overview:* OFA application version 12.1.3 is out of normal support from Oracle and requires an upgrade to a newer supported version (12.2.10) to continue receiving product updates and proactive fixes. We will complete analysis and work with impacted teams to perform the software changes needed for the upgrade. We will work with business teams to complete testing, validation, and a mock cut over in Q4 2022.

—*Update:* To reduce business risk during Q4, we will upgrade OFA application in Q1 2023. We are yet to finalize the production cutover date, which we are discussing with stakeholders. We will provide a work backward plan with milestones by 4/29/2022.

**[FGBS Goal] Launch Holmes MLP for First-Party (1P) Retail Customer Sales in Mexico – 11/30/2022 [Green]**

—*Overview:* We will launch a Holmes MLP solution for 1P Retail customer sales in Mexico, which is aligned with the partner program Sherlock. Sherlock and Holmes programs will deliver company-wide tech solutions to proactively validate data consistency across business and financial systems. The Holmes MLP will include reconciliation, data lineage, and exception reporting capabilities across accounting entries, tax records, tax invoices, and cash settlement transactions. We will also deliver a global roll-out strategy for new countries and business events, and an exception management pilot framework.

—*Update*: On 3/18/2022, we completed the initial PE consultations on the high-level design. We are working on a couple of proof of concepts to solidify the data ingestion and reconciliation strategy. We will complete overall solution design by 4/29/2022.

**[FGBS Goal] Standard Audit File for Tax (SAF-T) Reporting Capabilities for four EU Countries – 12/15/2022 [Green]**

—*Overview:* We will extend the foundational infrastructure and reporting capabilities we delivered for Norway and to Poland, Hungary, Austria, and Romania based on priority and guidance received from in-country compliance teams. We will also build capabilities to add customer PII (Red Data) to the SAF-T output, and backfill the datasets needed for generating SAF-T files for historical time periods on-demand for any potential audits

—*Update:* We are on track for the next milestone (Luxembourg Full 2020 File) on 4/30/2022. We are building requirements for our next jurisdiction Poland launching 7/1/2022 and then will focus on Austria and Romania in Q3/Q4 2022.

**Tax Matching Solution (TMS): Provide End-to-End Automated Matching Solutions for Intercompany (IC) Transactions (Phase 1) – 4/30/2023 [Green]**

—*Overview*: Intercompany program needs a unified tax matching solution that can match intercompany transactions based on various business rules and increase the overall percentage of the matched results. The solution will replace the matching component of Finch/TIMS (Tax Integrated Matching Service) systems. Timelines for the TMS Phase 1 launch consists of the first UAT session from 11/1/2022 to 11/30/2022, second UAT session from 2/1/2022 to 2/28/2022, and final Phase 1 launch in Production by 4/30/2023.

—*Update*: We reviewed and agreed on the TMS Phase 1 Release timelines with the business on 3/24/2022. Tax requested for the final TMS Phase 1 launch date of 4/30/2023 due to the year-end Tax activities. We also reviewed the In-scope and out of scope items for Phase 1 and are on track to obtain sign-off by 4/30/2022.

**Brazil T-Rail (Tax Crosschecking tool) – Date for a Date ~~3/7/2022~~ 4/19/2022 [Scoping]**

—*Overview*: T-Rail is a rule based automated validation service to proactively detect missing invoices and data between upstream systems and trigger the remediation process through auto-cut tickets to upstream systems. It will reduce manual work, human error risk, and the scaling of BR tax compliance filings.

—*Update*: We completed high-level design, which is currently under review. We aligned with Tax to provide the execution plan by 4/19/2022. We delayed this to evaluate other products such as PANDA for long term FinTech Tax strategy.

**Tax and Invoice Reference Number (IRN) Reconciliation for India – Date for a Date ~~3/14/2022~~ 4/15/2022 [Scoping]**

—*Overview*: We launched reconciliation capability for India TDW in Q4 2021 for retail and marketplace entities at invoice levels between accounting books and tax data. We are strengthening the controllership of indirect tax compliance by enhancing the current capabilities to reconcile tax invoices against the e-invoicing details.

—*Update*: India Tax team provided inputs on detailed E-Invoice attributes required to be reconciled with TAR data. We are still waiting for India Tax team to confirm the reporting format before we can finalize the release plan.

**Deploy PwC's Application Service Provider (ASP) solution for India Tax – Date for a Date ~~3/28/2022~~ 4/22/2022 [Scoping]**

—Overview: India Tax Team is planning to implement a third-party solution developed by PwC called ASP and e-Invoicing for their automation of Global Sales Tax filings with the Indian Government Portal. We will provision the AWS infrastructure and partner with PwC team to deploy the ASP solution to enable India Tax team automate filing of tax returns. We will also build and deploy the data pipelines for sourcing tax reports into ASP.

—*Update*: We are reviewing the security requirements of ASP solution and will finalize the scope with PwC and come up with release plan. We are onboarding PwC consultants by 4/18/2022. We delayed the date for a date because we are waiting for formal confirmation from PwC on the inclusion of SSO implementation in the scope.

**Mexico Tax Datawarehouse (MX TDW) – Date for a Date 4/29/2022 [Scoping]**

—*Overview*: To mitigate the compliance risk associated due to any delays in monthly tax-filings and to improve the transparency in the management of reconciliation rules by MX Tax teams, we propose to deliver MXTDW solutions in three phases 1) Data Ingestion, Warehousing 2) MVP Self-serve (SEED) and 3) Complete Self-serve (SEED).

—*Update*: We partnered with TDMS to define the tax requirements for Mexico and proposed solution in 3 phases. TDMS is currently evaluating options to leverage Sherlock & Holmes solutions for enriching MXTDW data. TDMS will finalize high level scope by end of 4/29/2022. Once the scope is finalized and requirements are signed off, we can deliver a release plan.

**Braavos: Mexico VAT Refund Program (Lane 2) – 5/13/2022 [Scoping]**

—Overview: To support Mexico business' effort to reclaim VAT, Braavos enables the Amazon Tax and Accounting users to trace requisite financial transactions. Braavos plans to create missing critical financial reports and transaction search capabilities to surface details needed by the Mexican authorities for successful VAT refund.

—Update: We released new Report Builder enhancements on 3/14/2022 to enable rapid prototyping. New PM-T is working with business stakeholders to crystalize requirements in seven PRDs to enable phase development. Targeting all PRD sign off by 4/29/2022. Development team targets to deliver a release plan by 5/13/2022.

## Appendix B: Tax Reporting Data Sources per Country and Region

Four TDW instances are live and used for tax compliance filings WW. TDW ingests data from multiple systems to provide filing and reporting data to the Tax teams. Table 1 maps the countries with their primary tax reporting data sources for their compliance obligations and Table 2 lists the input data ingested in each tax reporting data source. There are four TDW instances US, INTL (International), IN and CN. India and China Tax teams are not fully onboarded to IN and CN TDW for their filings yet. India Tax teams rely on data extracts from INTL instance. China Tax team rely on manual data extracts from USL and OFA.

*Table 1. Tax Reporting Data Source by Country*

| ITX Group | Country/Region Scope | Tax Reporting Data Source |
|---|---|---|
| **EMEA** | Europe, ME, Africa – excluding ME Retail | **INTL TDW** |
| **SEA/GS** | APAC, LATAM and CA – excluding reporting covered by other ITX country teams | **INTL TDW; US TDW; IN TDW** |
| **SALT** | USA | **US TDW** |
| **IN ITX** | India | **INTL TDW; IN TDW** |
| **ME ITX** | SOUQ Egypt, Jordan, KSA, UAE | **INTL TDW** |
| **MX ITX** | Mexico | **MX VAT Recon, US TDW** |
| **BR ITX** | Brazil | **Jaguar, SYNCHRO** |
| **JP ITX** | Japan | **INTL TDW** |
| **CN ITX** | China | **Manual; CN TDW** |

*Table 2. Input System Dependency per Tax Reporting Data Source*

| | Tax Reporting Data Source | | | | | |
|---|---|---|---|---|---|---|
| **Input System Dependency** | **INTL TDW** | **US TDW** | **IN TDW** | **CN TDW** | **BR Reporting** | **MX Reporting** |
| **TAR** | | | | | | |
| **USL** | | | | | | |
| **OFA** | | | | | | |
| **Booker (Andes)** | | | | | | |
| **AWS DW (Invoicing and ATAR)** | | | | | | |
| **FDW** | | | | | | |
| **HVR** | | | | | | |
| **Bottle return** | | | | | | |
| **Marvin (Commodity code classification)** | | | | | | |
| **RC Engine** | | | | | | |
| **Avast** | | | | | | |
| **European Central Bank (ECB)** | | | | | | |
| **Manual Uploads (FX Rates and Commodity Codes)** | | | | | | |
| **Subsidiaries** | | | | | | |
| **Contra COGS** | | | | | | |
| **Transportation Data** | | | | | | |
| **Teller** | | | | | | |
| **VPS** | TBD | | | | | |
| **GL** | TBD | | | | | |
| **Virtual Trader** | TBD | | | | | |
| **AFT** | TBD | | | | | |
| **GIS** | | | | | | |
| **BIP** | | | | | | |
| **GIAS** | | | | | | |
| **LOTMAN** | | | | | | |
| **Cimmaron** | | | | | | |
| **OTC** | | | | | | |
| **PayStation** | | | | | | |

Available  Pending integration  Not needed

320 **Appendix C: 2022 Project Delays**

| # | Status | Category | Project | Original Date | Revised Date | # of Days Delayed | Reason for Delay(s) |
|---|---|---|---|---|---|---|---|
| 01 | Completed | Resource availability | Tax and Revenue Reconciliation for India | 8/23/21 | 12/15/22 | 479 | COVID Medical Emergency delayed launch. New engineer assigned to project. |
| 02 | ↓ | Scope Change/Downstream Dependency | China TDW: Phase 1 (Integrate USL and GL Datasets) | 10/20/21 | 3/4/22 | 135 | CN Tax team, ITT requested for more time for business rules and testing |
| 03 | ↓ | Upstream dependency | OBIEE Deprecation | 8/31/21 | 12/31/21 | 122 | Delayed the date to close out open OBIEE reports, test QS features planned for delivery in December, and onboard AWS Premium Support. |
| 04 | ↓ | Technical Issues | Digital Service Tax (DST): Phase I | 11/30/21 | 1/31/22 | 62 | We took longer than expected for data validations for France and India. |
| 05 | ↓ | Scope Change | PayLoad v3.0: Incremental Payment Approval | 12/16/21 | 2/4/22 | 50 | We delayed the Incremental Payment Approval feature due to an additional flow in the approval process. |
| 06 | ↓ | Technical Issues/Resource availability | SAF-T Luxembourg | 11/18/21 | 1/5/22 | 48 | Launch delayed due to bugs/issues we encountered and the low resource capacity at year end |
| 07 | ↓ | Scope Change | Seed 2.0: Phase 2 (Export/Import) | 1/7/22 | 2/3/22 | 27 | We decided to add a “Cancel” function in the import process |
| 08 | ↓ | Technical Issues | US TDW integration with Amazon Pharmacy | 11/15/21 | 12/10/21 | 25 | Delayed due to a permission issue on Pandora's end |
| 09 | ↓ | Scope Change | Budget and Matter Manager (BAMM): Phase 1 v1.2 | 12/16/21 | 1/6/22 | 21 | We delayed this release to allow for more testing. |
| 10 | ↓ | Scope Change | FAA Launch CapEx Asset Tracker (CAT) (Phase 2) | 11/29/21 | 12/15/21 | 16 | Added Asset Category and Useful Life for Middle Mile Vehicle assets to the release |
| 11 | In-flight – Yellow | Upstream dependency | Migrate 3% of Digital Payments to Teller | 11/1/17 | 7/15/22 | 1717 | Transportation tech team unable to prioritize delivery in 2020; further delays due to low passage rate from SIT and extended UAT timelines, compounded by 2021 Q4 and year end sensitivities. |

| # | Status | Category | Project | Original Date | Revised Date | # of Days Delayed | Reason for Delay(s) |
|---|---|---|---|---|---|---|---|
| 12 | In-flight – Green | Downstream Dependency | Tax Engine V3 Schema Update for MPF 2.0 | 3/3/20 | 4/1/22 | 759 | Delayed by Tax Engine as their dependent systems were not ready |
| 13 | ↓ | Scope change | Intercompany: Tax Automation for IC MJEs | 9/14/21 | 8/19/22 | 339 | Need to add 60 weeks of development effort to bring additional attributes and logic |
| 14 | In-flight – Yellow | Scope Change/Downstream Dependency | SPED Record for Brazil BR | 12/20/21 | 5/2/22 | 133 | We initially did not cover the backfill data, due to a miscommunication, and GIAS needed more time to review our plan |
| 15 | In-flight – Green | Scope Change | BAMM: v1.2.1 (Data Controls, UX) | 3/31/22 | 4/28/22 | 28 | International Tax re-org required new work |
| 16 | ↓ | Resource availability | Budget and Matter Manager (BAMM): Phase 1 v1.2.1 | 3/31/22 | 4/28/22 | 28 | Due to two SDEs leaving the team, we moved the launch date |
| 17 | Scoping | Resource availability/Scope Change | MX VAT Audit Readiness, Lane 5, Phase 2 | 12/30/21 | 5/6/22 | 127 | Delayed due to transfers out of the org and revised the scope to include seller fees plus Prime use cases. |
| 18 | ↓ | Scope change | Brazil T-Rail (Tax Crosschecking tool) Plan | 3/7/22 | 4/19/22 | 43 | We delayed this to evaluate other products such as PANDA for long term FinTech Tax strategy. |
| 19 | ↓ | Upstream dependency | IRN Reconciliation for India Plan | 3/14/22 | 4/15/22 | 32 | Waiting for India Tax team to confirm the reporting format before we can finalize the release plan. |
| 20 | ↓ | Upstream dependency | Deploy PwC's ASP solution for India Tax | 3/28/22 | 4/22/22 | 25 | Waiting for formal confirmation from PwC on the inclusion of SSO implementation in the scope. |
| 21 | ↓ | Scope Change | RAPID: Soft Drinks | 3/25/22 | 4/8/22 | 14 | Business requested additional changes for Exempt category |
| 22 | On Hold | Prioritization | Seed: Bring Your Own Data (BYOD) Feature | 10/15/20 | TBD | TBD | POC results revealed that considerable redesign effort needed, additional requirements from Tax. Aligned with Tax to deprioritize for 2020 |
| 23 | ↓ | Upstream dependency | EU ASINs Analysis: Data Delivery | 2/26/21 | TBD | TBD | Data for January 2011 to June 2011 is not available in TDW as it pre-dates TARs in Tax Engine. |

## Appendix D: MBR Project Status Summary

The table below provides an overview of the number of projects in red, yellow, completed and green status since December 2021.

| # | Status | Dec' 21 | Jan' 22 | Feb' 22 | Mar' 22 |
|---|---|---|---|---|---|
| 01 | Red | 1 | 3 | 0 | 0 |
| 02 | Yellow | 6 | 5 | 6 | 5 |
| 03 | Complete | 12 | 6 | 2 | 5 |
| 04 | Green | 21 | 16 | 18 | 16 |
| 05 | Scoping | 4 | 5 | 6 | 8 |
| 06 | On Hold | 1 | 1 | 0 | 0 |
| 07 | Total Projects | 45 | 36 | 32 | 34 |
| 08 | Red+Yellow/Total | 16% | 22% | 19% | 15% |

## Appendix E: 2022 COEs

| # | COE ID | Title | Summary | Incident Date | Owner |
|---|---|---|---|---|---|
| 01 | 242512 | Data duplication issue in the TDW US | On 1/12/2022, Indirect Tax Tech (ITT) uncovered a data duplication issue with a subset of transactions occurred from 12/5/2021 to 12/6/2021 in the US TDW. The duplicate records overstated $2.7 MM tax amount or 0.1% for the DEC-21 filing. Due to insignificant of the impact and timing for filing, the ITT team made a business decision to manage the DEC-21 filing as-is and will do adjustments for the JAN-22 filing. | 1/12/22 | shibiaoc@ |
| 02 | 244414 | Tax Invoice Reconciliation issue in INTDW | India Tax found discrepancies when they were reconciling Tax Invoices against GIS data for December 2021 and January 2022 periods. Failure to reconcile led to incorrect submissions of Tax Invoices during Tax filings and created compliance risk. | 1/8/22 | cherusek@ |

## Appendix F: Headcount Summary

This section includes a summary of headcount by FinTech Tax domain.

| | | | | |
|---|---|---|---|---|
| Totals→ | 246 | 166 | 13 | (67) |
| % of 2022 Target→ | | 67% | 5% | -27% |

| # | FinTech Domain | Locations | Total Funded | | | |
|---|---|---|---|---|---|---|
| | | | 2022 Revised Target | Actual HC | Pending Starts | (Under)/ Over |
| 01 | E-Reporting & EMEA Tax Compliance | AMS | 21 | 15 | 3 | (3) |
| 02 | FinTech Tax - PM, Cust Engagement & Other | SEA, WAS, DFW | 16 | 15 | 1 | – |
| 03 | Brazil Tax | GRU | 49 | 27 | 3 | (19) |
| 04 | Tax Audits and Obligations | SEA, DFW, HYD | 34 | 30 | 2 | (2) |
| 05 | Compliance and Automation Tools | SEA, DFW, SJO, HYD, DEL | 79 | 43 | 3 | (33) |
| 06 | ROW Compliance & Support Engineering | HYD | 28 | 19 | | (9) |
| 07 | RAPID, CapEx | HYD, DEL | 19 | 17 | 1 | (1) |

330 **Appendix G: List of Tax MBR/QBR Project Owners**

| # | Section | Topic | Point of Contact |
|---|---|---|---|
| 01 | Page Zero | Page Zero Metrics | Dionne Neal (Smith) |
| 02 | Key Call Outs | 2022 Roadmap and Prioritization | ↓ |
| 03 | ↓ | Tech Debt | ↓ |
| 04 | ↓ | Headcount | Anand Kuppusamy |
| 05 | ↓ | Customer "Day in the Life of" Sessions | Dionne Neal (Smith) |
| 06 | Misses | Data Duplication Issue in the US TDW | Sean Chen |
| 07 | ↓ | Tax Invoice Reconciliation issue in INTDW | Sekhar Cherukupalli |
| 08 | Wins | OFA Database Upgrade | Amit Rathi |
| 09 | ↓ | AWS TDW and Book-to-Tax Recon Tool | Sean Chen |
| 10 | ↓ | CN TDW: Phase 1 | ↓ |
| 11 | Indirect Tax Compliance | SPED Record for Brazil | Marvin Ferreira |
| 12 | ↓ | Automate Use Tax Calculation: Vertex Installation | Aravind Ravula |
| 13 | ↓ | Tax Engine V3 Update for MPF | Kevin Lauckner |
| 14 | ↓ | Digital Service Tax (DST): Phase I | Varun Bhagat |
| 15 | Direct Tax Compliance | CapEx WorkBench: Phase 3.0 | Gary Ide |
| 16 | Obligation Management | PayLoad: v4.0 | Vivek Verma |
| 17 | ↓ | Tax Obligation Manager (TOM): v8.2 | Jose Romero |
| 18 | Automation Tools | RAPID Self-Audit Candy | Gary Ide |
| 19 | ↓ | BAMM Phase 1 | Aravind Ravula |
| 20 | ↓ | PANDA: Phase 1 | Rajkumar Balraj |
| 21 | ↓ | Starling v1.3 | Jose Romero |
| 22 | Tax Audits | MX VAT Audit Readiness, Lane 5 | Abhishek Ray |
| 23 | ↓ | Audit Management Portal (AMP): Q2 2022 | Andrew Cheung |
| 24 | ↓ | Launch Configurable Report Generation (TAP) | Kishore Jagannathan |
| 25 | Select FinTech Investments where Tax is a Stakeholder | Teller OFA AP Transition: Transportation & Digital | Vijay Reddy |
| 26 | Appendix A | E-Invoicing Program | Michael Flowers |
| 27 | ↓ | Seed 2.0: Phase 3 | Sean Chen |
| 28 | ↓ | Intercompany: Phase 1.1 | Arun Mallik |
| 29 | ↓ | MDM: Release 3 | Norman Langseth |
| 30 | ↓ | FINCH: Release 2B | ↓ |
| 31 | ↓ | OFA App Upgrade | Amit Rathi |
| 32 | ↓ | Project Holmes | Kishore Jagannathan |
| 33 | ↓ | SAF-T | Kevin Lauckner |
| 34 | ↓ | Tax Matching Solution (TMS): IC Transactions | DJ Jaiswal |
| 35 | ↓ | Brazil T-Rail | Marvin Ferreira |
| 36 | ↓ | Tax and IRN Reconciliation for India | Sekhar Cherukupalli |
| 37 | ↓ | Deploy PwC's ASP | ↓ |
| 38 | ↓ | MX TDW | ↓ |
| 39 | ↓ | Braavos: Mexico VAT Refund Program (Lane 2) | ↓ |
| 40 | Appendix B | Tax Reporting Data Sources per Country and Region | Chinmaya Das |

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## Appendix H: 2022 FinTech Tax Roadmap

2022 FinTech Tax Roadmap as of 3/31/2022: Full Project List

Summary of 2022 Below the Line projects:

| Project Name | Above/Below | Program/Product | Project Description | Impacted Team | Tax Director - Sponsor | Expected P | Strategic Priority | Region | Country |
|---|---|---|---|---|---|---|---|---|---|
| Develop a Tax Privacy Dashboard | Below | Data Privacy | | PMO<br>FinTech-Tax | William Merrigan | 12/31/22 | Improved Controllership | Global | |
| Privacy Compliant Framework | Below | Data Privacy | | PMO<br>FinTech-Tax | William Merrigan | 12/31/22 | Improved Controllership | Global | |
| BR - Automated Dashboards (BI) | Below | Indirect Tech Debt | | PMO<br>FinTech-Tax | Gordon Beckstead | 12/31/22 | Tech Debt / Automation | LATAM | Brazil BR |
| BR - Crosschecks between tax returns and xmls | Below | Indirect Tech Debt | | PMO<br>TDMS<br>FinTech-Tax | Gordon Beckstead | 12/31/22 | Tech Debt / Automation | LATAM | Brazil BR |
| BR - Development of a tax analysis console (BI) | Below | Indirect Tech Debt | | PMO<br>FinTech-Tax | Gordon Beckstead | 12/31/22 | Tech Debt / Automation | LATAM | Brazil BR |
| BR - Tax Calculation – Tax closing procedures | Below | Indirect Tech Debt | | PMO<br>TDMS<br>FinTech-Tax | Gordon Beckstead | 12/31/22 | Tech Debt / Automation | LATAM | Brazil BR |
| BR - TRD Maker (decision tree) | Below | Indirect Tech Debt | | PMO<br>FinTech-Tax | Gordon Beckstead | 12/31/22 | Tech Debt / Automation | LATAM | Brazil BR |
| Automation of SISTER requirements maintenance | Below | Subsidiaries (SISTER) | | PMO<br>FinTech-Tax | | 12/31/22 | Tech Debt / Automation | Global | |
| OneStream integration | Below | Subsidiaries (SISTER) | | PMO<br>FinTech-Tax | Damian Hunt | 12/31/22 | Tech Debt / Automation | Global | |
| MGM Integration - Studios Content | Below | CapEx | | PMO<br>FinTech-Tax | Gayle Tagawa | 06/30/22 | Tech Debt / Automation | NOAM | United States US |
| Fixed Asset Subledger (FASL+) | Below | CapEx | | PMO<br>FinTech-Tax | William Merrigan | 12/31/22 | Corporate Restructuring & Other FGBS Projects | Global | |
| Prime Video TVOD Global Launch | Below | Egret | | PMO<br>FinTech-Tax | | 03/10/23 | Expansions & Business Model Changes | ROW | |
| Flexible Automated Billing for Display Advertising | Below | Advertising | | TDMS<br>FinTech-Tax | Gordon Beckstead | 03/31/22 | Expansions & Business Model Changes | | Mexico MX |
| Migrate AWS Spain SII to Seed | Below | AWS | | TDMS<br>FinTech-Tax | Alisa Margolis | 01/01/23 | Tech Debt / Automation | | Spain ES |
| Assortments | Below | Brazil Business Expansion | Onboard assortment selling use case into Synchro and Jaguar | FinTech-Tax | | | Tech Debt Automation | | Brazil |
| Deprecate invoicing assembly legacy system (Xingu) for BR Retail & Digital | Below | Brazil Business Expansion | InTech Services adjustments | FinTech-Tax | | | Tech Debt Automation | | Brazil |
| Launch Capabilities for Unified Invoicing to Ensure AWS Brazil SOR Compliance Control | Below | Brazil Business Expansion | To support the unified invoicing compliance requirements we will launch the following four capabilities: 1) Withholding Tax Reconciliation, Reports and Tax Returns; 2) Financial Reconciliation Enhancements; 3) Bookkeeping of Unified Invoicing; 4) Tax Variance – Auto Calculation, Post, and Reporting. | FinTech-Tax | | | Tech Debt Automation | | Brazil |
| Placeholder: Inform Carrier name in NFe | Below | Brazil Business Expansion | To enable the data integration of Carrier information contained in the invoice. | FinTech-Tax | | | Tech Debt Automation | | Brazil |
| [Tax Compliance] CBS - Tax Reform Proposal to Congress - unification of taxes PIS and COFINS | Below | Brazil Tax Application | [Tax Compliance] CBS - Tax Reform Proposal to Congress - unification of taxes PIS and COFINS | FinTech-Tax | | | Tech Debt Automation | | Brazil |
| Allow System to Receive Complementary Invoice in other cases than Overage<br>(E.g: Products items that are not in NF-e) | Below | Brazil Tax Application | Allow System to Receive Complementary Invoice in other cases than Overage<br>(E.g: Products items that are not in NF-e) | FinTech-Tax | | | Tech Debt Automation | | Brazil |
| Allow System to receive Letter of Corrections | Below | Brazil Tax Application | Allow System to receive Letter of Corrections | FinTech-Tax | | | Tech Debt Automation | | Brazil |
| Automated Dashboards (BI) | Below | Brazil Tax Application | Automated Dashboards (BI) | FinTech-Tax | | | Tech Debt Automation | | Brazil |
| Automated integration of GL Strings in EFD (escrituracao fiscal digital) Contribuições | Below | Brazil Tax Application | Automated integration of GL Strings in EFD (escrituracao fiscal digital) Contribuições | FinTech-Tax | | | Tech Debt Automation | | Brazil |
| Automated Tests (Bolt) | Below | Brazil Tax Application | Automated Tests (Bolt) | FinTech-Tax | | | Tech Debt Automation | | Brazil |
| Bookkeeping, Recon and Payment - AMZL BR - Cte (BADI/LFS) - TFS | Below | Brazil Tax Application | Bookkeeping, Recon and Payment - AMZL BR - Cte (BADI/LFS) - TFS | FinTech-Tax | | | Tech Debt Automation | | Brazil |
| Crosschecks in between tax returns and xmls | Below | Brazil Tax Application | Crosschecks in between tax returns and xmls | FinTech-Tax | | | Tech Debt Automation | | Brazil |
| FAS 5 / Watchlist Reports | Below | Brazil Tax Application | FAS 5 / Watchlist Reports | FinTech-Tax | | | Tech Debt Automation | | Brazil |
| Freight services provided by Post Office - "Correios" | Below | Brazil Tax Application | Freight services provided by Post Office - "Correios" | FinTech-Tax | | | Tech Debt Automation | | Brazil |
| GNRE - Vouchers - Tax Payment | Below | Brazil Tax Application | GNRE - Vouchers - Tax Payment | FinTech-Tax | | | Tech Debt Automation | | Brazil |
| GOOGLE AND FACEBOOK - Credit recover over marketing expenses | Below | Brazil Tax Application | GOOGLE AND FACEBOOK - Credit recover over marketing expenses | FinTech-Tax | | TBD | Tech Debt Automation | | Brazil |
| Improvement of third party property - (Benfeitoria em imóvel de terceiros) | Below | Brazil Tax Application | Improvement of third party property - (Benfeitoria em imóvel de terceiros) | FinTech-Tax | | | Tech Debt Automation | | Brazil |
| Intercompany (New Ice) - Import and Export of Service | Below | Brazil Tax Application | Intercompany (New Ice) - Import and Export of Service | FinTech-Tax | | TBD | Tech Debt Automation | | Brazil |
| Invoice Issuance "Comodato" and it return | Below | Brazil Tax Application | Invoice Issuance "Comodato" and it return | FinTech-Tax | | TBD | Tech Debt Automation | | Brazil |

| Project Name | Above/Below | Program/Product | Project Description | Impacted Team | Tax Director - Sponsor | Expected P | Strategic Priority | Region | Country |
|---|---|---|---|---|---|---|---|---|---|
| Invoice Issuance - "donation/gift" and it return | Below | Brazil Tax Application | Invoice Issuance - "donation/gift" and it return | FinTech-Tax | | | Tech Debt Automation | | Brazil |
| Invoice Issuance - Automation of Asset Transfers for all FC´s | Below | Brazil Tax Application | Invoice Issuance - Automation of Asset Transfers for all FC´s | FinTech-Tax | | TBD | Tech Debt Automation | | Brazil |
| Invoice Issuance - Automation of other Operations: "internal use and consumption" and it return for all FC´s | Below | Brazil Tax Application | Invoice Issuance - Automation of other Operations: "internal use and consumption" and it return for all FC´s | FinTech-Tax | | TBD | Tech Debt Automation | | Brazil |
| Invoice Issuance - Automation of other Operations: "Troca em Garantia" for all FC´s | Below | Brazil Tax Application | Invoice Issuance - Automation of other Operations: "Troca em Garantia" for all FC´s | FinTech-Tax | | | Tech Debt Automation | | Brazil |
| Invoice Issuance - damage | Below | Brazil Tax Application | Invoice Issuance - damage | FinTech-Tax | | | Tech Debt Automation | | Brazil |
| Invoice Issuance - Entry/Issuance of invoice of sample (demonstração) (inbound and outbound) and it return | Below | Brazil Tax Application | Invoice Issuance - Entry/Issuance of invoice of sample (demonstração) (inbound and outbound) and it return | FinTech-Tax | | | Tech Debt Automation | | Brazil |
| Invoice Issuance - Remittance "simples remessa" and it return | Below | Brazil Tax Application | Invoice Issuance - Remittance "simples remessa" and it return | FinTech-Tax | | | Tech Debt Automation | | Brazil |
| Invoice Issuance Shipment for Repair (inbound and outbound) | Below | Brazil Tax Application | Invoice Issuance Shipment for Repair (inbound and outbound) | FinTech-Tax | | TBD | Tech Debt Automation | | Brazil |
| Issuance of Complementary Invoice Massively (Important for B2B) | Below | Brazil Tax Application | Issuance of Complementary Invoice Massively (Important for B2B) | FinTech-Tax | | | Tech Debt Automation | | Brazil |
| Issuance of Letter of correction Massively | Below | Brazil Tax Application | Issuance of Letter of correction Massively | FinTech-Tax | | | Tech Debt Automation | | Brazil |
| Process & Deliver: Synchro, SFW and other tax systems | Below | Brazil Tax Application | Process & Deliver: Synchro, SFW and other tax systems | FinTech-Tax | | TBD | Tech Debt Automation | | Brazil |
| Profitables - Recover taxes (PIS/COFINS) over Associates Marketing Expenses (Legal Entities) | Below | Brazil Tax Application | Profitables - Recover taxes (PIS/COFINS) over Associates Marketing Expenses (Legal Entities) | FinTech-Tax | | | Tech Debt Automation | | Brazil |
| Profitables - Recover taxes (PIS/COFINS) over E-books / Music - Royalties expenses/payments | Below | Brazil Tax Application | Profitables - Recover taxes (PIS/COFINS) over E-books / Music - Royalties expenses/payments | FinTech-Tax | | | Tech Debt Automation | | Brazil |
| Profitables - Recover taxes from packages | Below | Brazil Tax Application | Profitables - Recover taxes from packages | FinTech-Tax | | | Tech Debt Automation | | Brazil |
| Re-calculate PIS and COFINS credits when override is applied (inbound validation) | Below | Brazil Tax Application | Re-calculate PIS and COFINS credits when override is applied (inbound validation) | FinTech-Tax | | TBD | Tech Debt Automation | | Brazil |
| Reconciliation - proof of payment (pop) and computation - EC 87 Obligation | Below | Brazil Tax Application | Reconciliation - proof of payment (pop) and computation - EC 87 Obligation | FinTech-Tax | | TBD | Tech Debt Automation | | Brazil |
| Services validation on Invoice Central Portal | Below | Brazil Tax Application | Services validation on Invoice Central Portal | FinTech-Tax | | | Tech Debt Automation | | Brazil |
| Tax Returns Automation | Below | Brazil Tax Application | Tax Returns Automation | FinTech-Tax | | TBD | Tech Debt Automation | | Brazil |
| MX NAFN/DI Reporting (Lane 2 of MX VAT Program) | Below | Mexico Business Expansion | ETL Effort for sourcing NAFN/DI Inventory related info for documents related to Pedimento, CI, Glosa, Sideline Reports, Transfer Manifests,Credit Note. Data sources that currently hosts these documents is not finalized. Discussions are currently going on for identifying the high-level data sources and defining the scope. | FinTech-Tax | | | | | |
| Payment by batch entity | Below | TOM | India - Payment batch by entity. Business Justification - An entity in India can have up to 35 company codes. If the payments cannot be batch processed by entity, the work to make payments will be prohibitive. | FinTech-Tax | Gordon Beckstead - Allison Hooper/ Darpan Mehta/ Vanessa Isaia/ Jilly Nissler | | | | |
| Global Procurement Entity MX | Below | | Global Procurement Entity (GPE) acts as a centralized procurement function to enable Global Planning in the Global Distribution Network (GDN). Through GPE the centralized procurement function happens at a given origin and distributes the inventory to the destination marketplaces using intercompany inventory transactions. GPE was launched on 6/15/2021 for CN Origin with legal entities of the following marketplaces – US, CA, UK, DE, FR, IT, ES, JP, AU, SG and AE to support PBGO use case. Due to the destination marketplace tax/accounting statutory requirements MX was not originally scoped to enable GPE. The GPE project team and key stakeholders have been reengaged | FinTech-Tax | | | | | |